

FEDERAL MARITIME COMMISSION
Office of Administrative Law Judges

IMPACT PRODUCTS, LLC AND SAFETY ZONE, LLC,
Complainants

v.

CMA CGM S.A., *Respondent*.

DOCKET NO. 24-07

Served: February 6, 2025

ORDER OF: Erin M. WIRTH, *Chief Administrative Law Judge*.

ORDER ON PENDING MOTIONS AND SECOND REVISED SCHEDULING ORDER

I. Introduction

A. Summary

On August 28, 2024, Respondent CMA CGM S.A. (“CMA”) filed a motion to dismiss (“Motion to Dismiss”) the complaint filed by Complainants Impact Products, LLC and Safety Zone, LLC. On August 30, 2024, Complainants filed a motion to compel CMA to cure production deficiencies and produce a corporate representative for depositions and to request an extension of time to complete discovery and file briefs (“Motion to Compel”). Also on August 30, 2024, CMA filed a motion to exclude the expert opinions of Complainants’ expert witness, John McCown (“Motion to Exclude”). On September 9, 2024, CMA filed a supplemental motion to dismiss the complaint (“Supp. Motion to Dismiss”). On September 23, 2024, Complainants filed a motion for leave to file an Amended Complaint (“Motion to Amend Complaint”). All of these motions were contested with oppositions and where appropriate, replies in support of the motions were filed. Additionally, Respondent filed two motions for confidential treatment of specific exhibits.

These flurry of motions were filed just as the parties were preparing to file their briefs. Such motions at the end of discovery are disfavored as they tend to delay the proceeding. It is more efficient to address these issues in the briefs and on the merits.

For the reasons set forth below, Respondent’s motion to exclude is denied; Complainants’ motion to compel is granted; Complainants’ motion to file an amended complaint is granted; and Respondent’s motion and supplemental motion to dismiss are dismissed as moot, although they are still discussed. Respondent shall file its response to the amended complaint by February 26, 2025; the parties shall complete discovery by April 9, 2025; and a briefing schedule is provided below. The parties are encouraged to discuss settlement and if a settlement is reached, it must be filed with the Commission with a motion seeking approval of it.

B. Motions for Confidential Treatment

On August 28, 2024, CMA filed a motion for confidential treatment of Exhibits 1-6 of its motion to dismiss. The motion states that the exhibits “are CMA’s service contracts, which contain confidential, proprietary, and commercially sensitive pricing, rate, and other information. The terms of the service contracts cannot be ascertained through outside sources and the business information they contain would cause significant prejudice and harm to CMA if disclosed.” Motion for Confidential Treatment at 1. Complainants did not oppose the request, which is reasonable. Accordingly, the motion is granted.

On August 30, 2024, CMA file a motion for confidential treatment of exhibit 1 of its motion to exclude. CMA contends that this exhibit “contains confidential, proprietary, and commercially sensitive rates, charges, and other information,” including specific rates and charges for demurrage and detention that are not publicly available. Second Motion for Confidential Treatment at 1. Complainants did not oppose the request. Accordingly, the motion is granted. However, in the parties’ briefing, entire exhibits should not be marked as confidential and may not qualify for confidential treatment. For example, pages 1 and 3, which describe the expert’s experience, may not be entitled to confidential treatment.

The motion to compel and motion to exclude are addressed first. Next, the motion to file an amended complaint is addressed. Then, the motion to dismiss and supplemental motion to dismiss are discussed. Finally, a second revised scheduling order is issued.

II. Motions

A. Complainant’s Motion to Compel

On August 30, 2024, Complainants filed a motion seeking 1) to compel Respondent to produce a corporate representative for deposition, 2) to compel Respondent to rectify its deficient document production, specifically documents that are incomplete, including Bates labeled by Respondent as 0612 through 0633, and 3) an extension of time to complete discovery and to file briefs. Motion to Compel at 5.

On September 18, 2024, CMA filed is opposition to the motion to compel, asserting that it served its third supplemental discovery responses on September 9, 2024, which cured the incomplete document issue; that the scope of the topic list for the corporate representative deposition was overbroad and not narrowed; and that due to the bankruptcy proceeding, “CMA is under no obligation to produce a corporate representative for deposition as Complainants have not demonstrated that they have the authority to continue this litigation.” Motion to Compel Opposition at 4-8.

CMA contends that it made an additional document production on September 9, 2024, after Complainant’s opening brief was due, which remedied the incomplete documents at issue. Moreover, it appears that the parties did not discuss the scope of the topic list for the corporate representative deposition, despite Complainant’s emails on August 12, 26, and 27, 2024, due to Respondent’s concerns about the bankruptcy. The bankruptcy issues are addressed below and the parties are instructed to complete the deposition of the corporate representative. Resolution of these discovery issues should be completed by the parties, who should confirm that all

documents have been produced and who should agree upon the scope of the topic list for the corporate representative. Respondent does not indicate its basis for asserting that the scope of the representative's deposition – which is limited to containers, communications, and invoices at issue in this proceeding – is overbroad.

Additional time will be granted for the parties to complete discovery, including a deposition of Respondent's corporate representative. It is noted that by Respondent's own admission, they did not provide complete discovery responses until after the deadline for Complainants to file their opening brief.

B. Respondent's Motion to Exclude Expert

On August 30, 2024, CMA filed a motion to exclude the expert opinions of John McCown, arguing that Mr. McCown's opinions lack any reliable methodology because Mr. McCown ignores all facts and data associated with individual shipments; Mr. McCown provides no basis for comparing CMA's specific charges with worldwide averages on a website; and the website Mr. McCown cites is not reliable for an expert report. Motion to Exclude at 5-10. In addition, CMA contends Mr. McCown's opinion on generalized averages is not relevant to the "circumstantial, fact-bound" analysis of each transaction required by this Commission and the D.C. Circuit Court of Appeals, and Mr. McCown lacks qualifications to opine about maritime billing practices. *Id.* at 10-11.

On September 11, 2024, Complainants filed a response in opposition to CMA's motion to exclude. Complainants contend that their August 12, 2022, expert report meets the expert disclosure requirements of Commission Rule 502.141(d)(2); Respondent's motion conflates the standards for admissibility with credibility of expert testimony; and Respondent's motion is premature. Motion to Exclude opposition at 2-6.

On September 19, 2024, CMA filed a motion for leave to file a reply in support of their motion to exclude and attached as an exhibit their reply brief. The motion for leave asserts that the reply is necessary as the opposition was filed late, Complainant's description of the expert report is inaccurate, they should not be required to take the expert's deposition, and CMA was not required to confer due to the bankruptcy proceeding. Motion to Exclude, Motion to file a Reply at 1-2. The reply expands upon these arguments. Motion to Exclude Reply at 1-4.

The reply brief will be permitted so that the record is complete. However, this is not a finding that any of CMA's arguments in favor of the reply have merit.

Commission Rule 502.141(d) addresses expert testimony, stating:

(d) *Disclosure of expert testimony.* (1) *In general.* A party must disclose to the other parties the identity of any witness it may use in the proceeding to present evidence as an expert.

(2) *Witnesses who are required to provide a written report.* Unless otherwise stipulated or ordered by the presiding officer, if the witness is one retained or specially employed to provide expert testimony in the proceeding or one whose duties as the party's employee regularly involve giving expert testimony, the

disclosure must be accompanied by a written report, prepared and signed by the witness. The report must contain:

- (i) A complete statement of all opinions the witness will express and the basis and reasons for them;
- (ii) The facts or data considered by the witness in forming them;
- (iii) Any exhibits that will be used to summarize or support them;
- (iv) The witness's qualifications, including a list of all publications authored in the previous 10 years;
- (v) A list of all other proceedings or cases in which, during the previous 4 years, the witness testified as an expert in a trial, an administrative proceeding, or by deposition; and
- (vi) A statement of the compensation to be paid for the study and testimony in the proceeding.

46 C.F.R. § 502.141(d)(2)(ii).

The Federal Rule of Evidence also address expert testimony, with Rule 702 stating:

A witness who is qualified as an expert by knowledge, skill, experience, training, or education may testify in the form of an opinion or otherwise if:

- (a) the expert's scientific, technical, or other specialized knowledge will help the trier of fact to understand the evidence or to determine a fact in issue;
- (b) the testimony is based on sufficient facts or data;
- (c) the testimony is the product of reliable principles and methods; and
- (d) the expert has reliably applied the principles and methods to the facts of the case.

Fed. R. Evid. 702; *see also Marine Repair Services of Maryland, Inc. v. Ports America Chesapeake*, Docket No. 11-11, LLC, 2013 WL 9808672, at *23–24 (ALJ Jan. 10, 2013).

When ruling on the admissibility of expert opinions, courts consider whether the expert is qualified in the relevant field and examine the methodology the expert used in reaching the conclusions at issue. *See, e.g., Daubert v. Merrell Dow Pharmaceuticals, Inc.*, 509 U.S. 579 (1993). The court's role as a "gatekeeper," pursuant to *Daubert*, to prevent expert testimony from unduly confusing or misleading a jury, is less applicable in a bench trial. *Magistrini v. One Hour Martinizing Dry Cleaning*, 180 F. Supp.2d 584, 596 n.10 (D.N.J. 2002) (citing *Gibbs v. Gibbs*, 210 F.3d 491, 500 (5th Cir. 2000) ("As this case will be a bench trial, the court's 'role as a gatekeeper pursuant to *Daubert* is arguably less essential.")). Rather than excluding expert

testimony, “[v]igorous cross-examination, presentation of contrary evidence, and careful instruction on the burden of proof are the traditional and appropriate means of attacking shaky but admissible evidence.” *Daubert*, 509 U.S. at 596; *Marine Repair Services of Md., Inc. v. Ports America Chesapeake, LLC*, 32 S.R.R. 1133, 1154 (ALJ 2013).

CMA’s arguments regarding Mr. McCown’s qualifications, methodology, and opinions, including the underlying data on which he relied, are relevant to the weight to be given to his opinions, but not to their admissibility. These issues are best determined through briefing, not by a motion to exclude. Moreover, the risk of prejudice from giving undue weight to marginally relevant evidence is minimal in a bench trial such as this where the judge is capable of assigning appropriate weight to evidence. In addition, at this stage in the proceeding, it cannot be concluded that Mr. McCown’s opinions will not assist the trier of fact. Accordingly, the motion to exclude is denied. All reports from the parties’ experts should already have been provided to the opposing party. All objections to any expert or other evidence, such as a motion to strike, should be raised in the parties’ briefing, not by a separate motion.

C. Motion to Amend Complaint and Extend Schedule

In their motion to amend, Complainants request leave to amend their verified complaint and request that the Presiding Officer extend the discovery deadlines and briefing schedule to allow the Substitute Complainant time to complete discovery and file its opening brief. Motion to Amend Complaint at 1-5. A request to extend discovery and briefing was also filed in Complainants’ motion to compel, filed on August 30, 2024.

CMA asserts that Complainants’ motion should be denied because amendment would be futile as the Amended Complaint does not solve Complainants’ indirect purchaser problem or bankruptcy problems and the discovery deadlines and briefing schedule should not be extended. Motion to Amend Complaint Opposition at 3-6.

Typically, motions to dismiss and requests to file an amended complaint are filed early in the proceeding. However, in this case, Respondent chose to file its motion to dismiss four work days prior to the due date for Complainants’ opening briefing. So, while an amended complaint might otherwise not be accepted at this late date, by filing the motion to dismiss and supplemental motion to dismiss, CMA opened the door to allowing the amended complaint at this point in the proceeding.

Commission Rule 66(a) provides in pertinent part that amendments “will be permitted or rejected, either in the discretion of the Commission or presiding officer. No amendment will be allowed that would broaden the issue, without opportunity to reply to such amended pleading and to prepare for the broadened issues.” 46 C.F.R. § 502.66(a).

The rules do not provide criteria for evaluating whether to grant or deny a motion to amend a complaint. However, Commission Rule 12 provides that “for situations which are not covered by a specific Commission rule, the Federal Rules of Civil Procedure will be followed to the extent that they are consistent with sound administrative practice.” 46 C.F.R. § 502.12. Under Federal Rule 15(a)(1)(B), “a party may amend its pleading once as a matter of course” within 21 days after service of a responsive pleading. F.R.C.P. 15(a)(1)(B). After that period, an amended

pleading is permitted with opposing party's written consent or leave of court, which should be freely given when justice so requires. F.R.C.P. 15(a)(2). "Denial of leave to amend therefore constitutes an abuse of discretion unless the court gives sufficient reason, such as futility of amendment, undue delay, bad faith, dilatory motive, undue prejudice, or repeated failure to cure deficiencies by previous amendments." *Bancoult v. McNamara*, 214 F.R.D. 5, 8 (D.D.C. 2003) (citations omitted); *see also Foman v. Davis*, 371 U.S. 178, 182 (1962).

Complainants describe the amended complaint:

The Amended Complaint will simply substitute TZ SSE Buyer as the new complainant (the "Substitute Complainant") and remove Impact Products, LLC and Safety Zone, LLC as Complainants. The remaining allegations in the Verified Complainant will remain substantially similar. The Amended Complaint will also provide more detail about the sequence of events (who did what and when) and correct any errors in identifying Laufer Group International as a freight forwarder, while also explaining Laufer's role in assisting Complainants with the delivery of the relevant containers. Importantly, the Amended Complaint does not introduce any new allegations or charges.

Motion to Amend Complaint at 2.

As discussed more below, the amended complaint addresses CMA's contention in its motion to dismiss that this proceeding should be dismissed based on the direct purchaser rule and the contention in the supplemental motion to dismiss that this proceeding should be dismissed based on bankruptcy rules. Further, there are no grounds under the Federal Rules warranting denial of the proposed amendment. Complainants will thus be allowed to amend their complaint. The schedule for filing an answer is below.

D. Motion and Supplemental Motion to Dismiss

The motion to dismiss and supplemental motion to dismiss are moot as the amended complaint motion was granted. However, the arguments have been considered and rejected in determining that the amended complaint is not futile. A summary of the arguments and analysis is below. These finding are considered in light of the allegations in the amended complaint.

1. Motion to Dismiss Standard

Although the Commission's Rules of Practice and Procedure ("Rules") do not explicitly provide for motions to dismiss, Rule 12 of the Commission's Rules states that the Federal Rules of Civil Procedure will be followed in instances that are not covered by the Commission's Rules, to the extent that application of the Federal Rules is consistent with sound administrative practice. 46 C.F.R. § 502.12. The "Commission looks to Federal Rule of Civil Procedure 12(b)(1) when considering dismissals based on lack of subject matter jurisdiction, and to Rule 12(b)(6) when considering dismissals based on failure to state a claim." *MAVL Capital v. Marine Transport Logistics*, 2 F.M.C. 2d 198, 2020 WL 13512925, at *4 (FMC Oct. 29, 2020).

When "jurisdictional facts are intertwined with facts central to the merits of a claim, the Rule 12(b)(6) standard applies." *MAVL Capital*, 2020 WL 13512925, at *5 (citing *Kerns v.*

United States, 585 F.3d 187, 192-93 (4th Cir. 2009)). “Under Fed. R. Civ. P. 12(b)(6), the facts alleged are taken as true and all reasonable inferences are drawn in the complainant’s favor.” *MAVL Capital*, 2020 WL 13512925, at *5 (citing *Maier Terminals, LLC v. The Port Authority of New York and New Jersey*, Docket No. 12-02, 2015 WL 9426189 (FMC Dec. 18, 2015)).

To survive motions to dismiss for failure to state a claim under Rule 12(b)(6), a complaint must contain sufficient factual matter, accepted as true, to “state a claim to relief that is plausible on its face.” *Bell Atlantic Corp. v. Twombly*, 550 U.S. 544, 570 (2007). A claim “has facial plausibility when the plaintiff pleads factual content that allows the court to draw the reasonable inference that the defendant is liable for the misconduct alleged.” *Ashcroft v. Iqbal*, [556 U.S. 662, 663] (2009).

Mitsui O.S.K. Lines Ltd. v. Global Link Logistics, Inc., Docket No. 09-01, 2011 WL 7144008, *12 (FMC Aug. 1, 2011). “A pleading that offers ‘labels and conclusions’ or ‘a formulaic recitation of the elements of a cause of action will not do.’” *Ashcroft v. Iqbal*, 556 U.S. 662, 678 (2009) (quoting *Twombly*, 550 U.S. at 555). “When there are well-pleaded factual allegations, a court should assume their veracity and then determine whether they plausibly give rise to an entitlement to relief.” *Iqbal*, 556 U.S. at 679. The focus at this stage is not with whether a complainant can prevail on its claim, but whether it has adequately pled the claim. *Negron v. USAA Casualty Ins. Co.*, 2014 WL 4411676, at *2 (M.D. Tenn. 2014).

2. Respondent’s Motion to Dismiss

In its motion to dismiss, CMA argues that only “direct purchasers” of shipping services may seek reparations under the Shipping Act; Complainants are not direct purchasers from CMA; and Complainants are barred from “becoming” direct purchasers by way of assignment because the CMA service contracts prohibit assignment and Complainants’ purported assignment is defective. Motion to Dismiss at 5-12.

Complainants contend that they are the direct purchasers of the charges; in the alternative, Complainants have validly succeeded to the reparations claims by assignment from Laufer; the assignment of claims is not defective; and CMA’s anti-assignment provision is inapplicable to the charges assessed by CMA against Complainants and Laufer. Motion to Dismiss Opposition at 5-16.

In reply, CMA asserts that the Shipping Act limits claims to parties in the contract of carriage, and the anti-assignment provision bars the right to repayment; Complainants incorrectly interpret the direct purchaser rule; and Complainants erroneously relate the discovery timeline to the motion to dismiss. Motion to Dismiss Reply at 2-6.

a. Indirect Purchaser

The amended complaint states that “[t]he Injured Parties were ‘shippers’ pursuant to 46 U.S.C. 40102(23);” that “[f]or the period of 2021 through 2022, the Injured Parties used Laufer, a non-vessel operating common carrier (‘NVOCC’), to assist in delivering containers with the Injured Parties’ goods (the ‘Relevant Containers’) from outside the United States to the United

States;” and that “Laufer passed the Charges to the Injured Parties with no markups.” Amended Complaint at ¶¶ 6, 14, 16.

The “Commission has repeatedly found that a complainant cannot rely on a pass-on theory to recovery reparations for overcharges.” *In Re: Vehicle Carrier Services*, Docket No. 16-01, 2019 WL 5419475, at *6 (FMC Oct. 21, 2019). In that case, the individual purchasers of vehicles, and the truck and auto dealers, were found not to be direct purchasers where they alleged that an improper fee had been passed on to them. *Id.* at *1, *7. However, the claims of the ocean transportation intermediary and manufacturer/shipper were permitted to continue. *Id.* at *15. Here, Complainants are not seeking damages based on a pass-through theory and the direct purchaser rule does not apply.

The direct purchaser rule does not deprive shippers of recourse for Shipping Act violations related to the shipment of their goods when the shipper utilizes an ocean transportation intermediary (“OTI”), whether an ocean freight forwarder or a non-vessel operation common carrier. Manufacturers such as the injured parties here may pursue Shipping Act claims even if they utilized an OTI. Rather, the direct purchaser rule prevents the individual consumers who purchased Complainant’s cleaning supplies or safety equipment from pursuing a Shipping Act claim on the basis that the manufacturer passed on shipping charges to them.

Even the quotations provided by CMA in its motion state that the rule applies to prohibit claims from “indirect purchasers further down the chain” and “various parties along the distribution chain.” Motion to Dismiss Opposition at 5-6 (quoting *TCW, Inc. v. Evergreen Shipping Agency (AM) Corp.*, 2022 WL 18068977 at *7 (FMC Dec. 29, 2022) and *In re Vehicle Carrier Services*, 1 F.M.C.2d 440, 446 (FMC Oct. 21, 2019) (citing *Illinois Brick v. Illinois*, 431 U.S. 720, 730-37 (1977))). Here, the complaint alleges that the manufacturer/shipper is not a downstream entity, but rather the shipper. Therefore, the motion to dismiss on the basis of the direct purchaser rule fails.

Complainants will, however, need to establish actual injury to recover reparations. The Shipping Act requires that the “Commission shall direct the payment of reparations to the complainant for actual injury caused by a violation” of the Act. 46 U.S.C. § 41305(b). Complainants bear the burden of proving that they are entitled to reparations. *MAVL Capital Inc. v. Marine Transport Logistics, Inc.*, Docket No. 16-16, 2022 WL 2209421, at *3 (FMC June 10, 2022). “Actual damages means ‘compensation for the actual loss or injuries sustained by reason of the wrongdoing’ which complainants must show to a reasonable degree of certainty.” *Id.* at *3 (quoting *California Shipping*, 1990 WL 427466, at *23). This does not impact standing as parties may also pursue a cease-and-desist order. “Given that a showing of actual harm is not a prerequisite for a cease-and-desist order, Respondents’ arguments that the Complainant failed to prove financial harm or actual loss are legally immaterial.” *Intermodal Motor Carriers Conference, American Trucking Ass’n, Inc. v. OCEMA*, 2024 WL 641501, at *44 (FMC Feb. 13, 2024).

“[A]lleged violations of the Shipping Act must be addressed with the Federal Maritime Commission.” *Mediterranean Shipping Co. USA v. Cargo Inc.*, 46 F. Supp. 3d 294, 301 (S.D.N.Y. 2014) (citing *Gov’t of Guam v. American President Lines*, 28 F.3d 142, 144 (D.C. Cir. 1994) (affirming a district court’s dismissal of a Shipping Act claim due to lack of jurisdiction);

D.L. Piazza Co. v. West Coast Line, 210 F.2d 947, 948 (2d Cir. 1954) (explaining that “the Federal Maritime Board [the predecessor to the Federal Maritime Commission] has exclusive primary jurisdiction over” matters “under the Shipping Act”).

Therefore, it does not appear that the amended complaint would be futile on the basis of the direct purchaser rule or that the amended complaint should be dismissed.

b. Assignment

The amended complaint alleges that the NVOCC, Laufer, “passed the Charges to the Injured Parties with no markups” and that on “April 4, 2024, Laufer assigned the claims alleged herein against CMA to the Injured Parties.” Amended Complaint at 4-5.

CMA relies on the assignment provision in its service contract which states that “Merchant may not assign this Contract, including any of all its rights or liability hereunder, or to otherwise permit any other person or entity, directly or indirectly to utilize services, rates, or other terms provided by Carrier hereunder, without the prior written consent of Carrier.” Motion to Dismiss at 8. It also contends that service contracts, in general, are not assignable, noting that the “reason for this anti-assignment rule is that service contracts are based on anticipated shipping volumes.” *Id.* at 10. Complainants point to Commission cases which state that complainants can recover reparations if they received an assignment from someone which directly paid the carrier. Motion to Dismiss Opposition at 10-11.

The Commission has repeatedly indicated that assignment of Shipping Act claims is possible. *Guam v. Pacific Far East Line, Inc.*, 7 S.R.R. 167, 168 (ALJ 1966) (“The award of reparations under Section 22 is limited to parties having legal claims for damages, i.e., shippers, consignees, persons paying the freight charges or holders of valid assignments. Guam has such standing only as to its own shipments.”). For example, the Commission allowed a parent company to seek reparations, as long as it obtained an assignment from its foreign subsidiary. *Rohm & Haas Co. v. Italian Line*, Docket No. 81-8, 21 S.R.R. 212, 215-216, 24 F.M.C. 429, 432 (FMC Nov. 13, 1981). The Commission also permitted a reparations claim by a company that “engaged in the business of auditing ocean freight charges” whose services were performed on a percentage of collection basis. *Ocean Freight Consultants, Inc. v. The Bank Line Ltd.*, Docket No. 1185, 9 F.M.C. 211, 212-213 (FMC Jan. 11, 1966) (requiring an assignment under the Shipping Act, 1916).

The amended complaint alleges a violation of the Shipping Act, not a violation of the CMA service contract. In other words, Complainants are not seeking to ship cargo through the assignment, rather, they are pursuing reparations for alleged Shipping Act violations. While the CMA service contract may be relevant to whether or not a violation occurred, it is not clear that the prohibition on assignments in the CMA service contract would control the assignment of Shipping Act claims. Moreover, the fact that CMA’s contracts prohibit assignments is not necessarily controlling on the issue of whether a Shipping Act complaint against it may be assigned. As the Commission has noted in the past, “[o]cean carriers and marine terminal operators (and ocean transportation intermediaries) do not have an unbound right to contract for whatever they want. They are limited by the prohibitions of the Shipping Act, one of which is

section 41102(c).” Interpretive Rule on Demurrage and Detention Under the Shipping Act, 85 FR 29638 at 29649 (May 18, 2020).

Therefore, the amended complaint plausibly alleges that Complainants have a valid assignment of the claim. Further, as discussed above, Complainants are able to pursue the claims for Shipping Act violations related to shipment of their cargo without an assignment. Thus, the arguments in the motion to dismiss do not make filing of the amended complaint futile.

3. Respondent’s Supplemental Motion to Dismiss

CMA contends that Complainants’ case should be dismissed as precluded under bankruptcy law because Complainants’ failure to disclose this FMC proceeding in their bankruptcy case is fatal to their claims; Complainants’ failure to obtain approval from the Bankruptcy Court precludes further prosecution of this case; and Complainants did not disclose the assignment on which they rely. Supp. Motion to Dismiss at 6-10. In addition, CMA asserts that Complainants’ case should be dismissed for failure to comply with the rules and revised scheduling order. *Id.* at 11.

Complainants contend that FRCP 12(g)(2) precludes Respondent from raising new arguments it was fully aware of at the time it filed its Motion to Dismiss; Complainants failure to disclose this particular FMC proceeding in their bankruptcy case does not bar the new owner of Complainants’ assets, including this cause of action, from bringing this suit against Respondent; Complainants did not need to obtain court approval from the Bankruptcy Court to continue to prosecute this case; Complainants have disclosed the assignment of claims agreement it entered into with Laufer Group International as part of their motion for leave to amend complaint; and Respondent’s own failure to abide by the revised scheduling order is the sole reason Complainants were unable to file their opening brief on time. Opposition to Supp. Motion to Dismiss at 6-14.

a. Bankruptcy

The amended complaint states that: “As part of the Bankruptcy Proceedings, the Injured Parties sold all of their assets, including the claims asserted against CMA in this case, to Complainant. The Bankruptcy Court approved the sale on July 10, 2024.” Amended Complaint at ¶ 2.

CMA waited until the end of the case to file its supplemental motion to dismiss, filing it after Complainants’ brief was due. If the issue had been raised in the scheduled briefing, the merits could have been reached. However, because it was filed as a motion to dismiss, the standard is whether well-pleaded factual allegations plausibly give rise to an entitlement to relief. Reviewing the allegations in the amended complaint, they plausibly assert that all assets, including the claims asserted in this case, were sold to TZ SSE Buyer, which is alleged to have authority to pursue this proceeding. If this is viewed as a motion for summary judgement, it is clear that there is a factual dispute.

Respondent does not provide any FMC cases supporting its position. Indeed, many of its cases contain a different factual scenario, addressing claims by creditors or the original debtors. It is thus not clear, on either a factual or a legal basis, whether or not this proceeding was

transferred as part of the bankruptcy sale. At the motion to dismiss stage, however, a plausible claim is raised, and at the motion for summary decision stage, there is a factual dispute. So, it is not appropriate to dismiss at this stage or to find that the amended complaint is futile. Therefore, the parties will be permitted to submit relevant evidence regarding the bankruptcy and argue about its impact in their briefing. Specifically, TZ SSE Buyer will have the burden to establish that it has the authority to pursue this complaint. When citing to the evidence, the parties should cite to specific pages by CX or RX exhibit numbers, as explained in the February 29, 2024, initial order.

Therefore, it does not appear that the amended complaint would be futile due to the bankruptcy.

b. Failure to File an Opening Brief

On August 28, 2024, four business days prior to the September 4, 2024 due date for Complainant's brief, Respondent filed the motion to dismiss and two days later, on August 30, 2024, filed its motion to exclude expert report. Thus, the timing of Respondent's motions interfered with Complainant's ability to file its initial briefing.

Also on August 30, 2024, Complainants filed their motion to compel and request for an extension of time to complete discovery and file briefs. The record shows that counsel for Complainants reached out to counsel for Respondent regarding the deposition of the corporate representative on August 12, August 26, and August 27, 2024. It appears that Respondent decided not to respond due to its questions about the bankruptcy. This means that Respondent was aware of the bankruptcy issues before it filed the motion to dismiss and before Complainants' opening brief was due. It is not clear why Respondent waited to file the supplemental motion to dismiss.

Regardless, Complainants filed a timely motion to extend the briefing period, prior to the deadline for its briefs. Moreover, due to the incomplete discovery and pending motions, additional time was required. Therefore, Complainants' request to extend the discovery and briefing period was appropriate.

III. Second Revised Scheduling Order

As discussed above, additional time will be provided for the parties to complete discovery and briefing. The parties should agree between themselves on a schedule to complete discovery, which should be filed as part of a joint status report.

The parties are hereby **ORDERED** to follow this schedule:

February 26, 2025	Respondent's answer to the amended complaint is due.
March 5, 2025	Parties agree upon discovery schedule and date for deposition of Respondent's corporate representative. Parties file joint status report with the schedule.
April 2, 2025	Deadline to complete deposition of Respondent's corporate representative.

April 9, 2025	All discovery completed.
May 7, 2025	Complainant's brief, proposed findings of fact, and appendix.
June 4, 2025	Respondents' opposition brief, responses to proposed findings of fact, proposed findings of fact, and appendix.
June 18, 2025	Complainant's reply brief and responses to proposed findings of fact.

IV. Order

Upon consideration of the record herein, the arguments of the parties, and the conclusions and findings set forth above, it is hereby

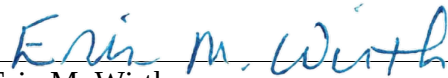
ORDERED that Respondent's motion to dismiss the complaint be **DENIED**. It is further

ORDERED that Complainants' motion to compel be **GRANTED**. It is further

ORDERED that Respondent's motion to exclude the expert opinions of John McCown be **DENIED**. It is further

ORDERED that Respondent's supplemental motion to dismiss the complaint be **DENIED**. It is further

ORDERED that Complainants' motion for leave to file an Amended Complaint be **GRANTED**. The Office of the Secretary is requested to serve the Amended Complaint and change the caption.


Erin M. Wirth
Chief Administrative Law Judge